FINTECH BUSINESS MODELS

2nd Edition
updated and expanded

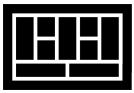


THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

SUPER GUIDE:
FINTECH BUSINESS MODELS

BY DANIEL PEREIRA



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

© THE BUSINESS MODEL ANALYST

The Business Model Analyst is a website dedicated to analyzing business model types, patterns, and innovations using the business model canvas as its primary tool. The site offers a wide variety of free and premium content, including digital products such as PDF tools, presentations, spreadsheets, ebooks & guides, and much more. **Check it out here.**

Daniel Pereira
The Business Model Analyst Ottawa, ON, Canada
businessmodelanalyst.com

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Copyright © 2022 Daniel Pereira

All rights reserved.

ISBN: 978-1-998892-08-2

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

TABLE OF CONTENTS

Introduction 9

What Is A Fintech? 10

How Are Fintechs Different From Traditional Banks? 12

Why Is Fintech Growing? 14

Fintech Examples & Uses 16

- Banking 16
- Cryptocurrency & Blockchain 16
- Investment & Savings 17
- Machine Learning & Trading 17
- Payments 18
- Lending 18
- Insurance 18

Different Types Of Fintech 20

- Robinhood (Stock Trading) 20
- Venmo (P2p Payments) 20
- Klarna (E-Commerce) 21
- Wealthfront (Wealth Management) 21
- Square (Business Payments) 22

State Of The Fintech Market, How Does Fintech Make Money? 23

- Crypto-Trading/Cryptocurrencies-Based 24
- Crowdfunding 25
- Digital Wallets (E-Wallets) 25
- Lending / P2p Lending 26
- Robo-Advising 27

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Subscription-Based 27
Advertising 28
Apis As A Revenue Stream 29
Are Fintech Companies Profitable? 30
How Do Fintech Cash Flows Work? 31
The Three Key Players In Fintech Cash Flows 31
The Four Key Accounts In Fintech Cash Flows 32
The Five Steps Of Fintech Cash Flows 33
Why Should Investors And Operators Understand How Fintech Cash Flows Work? 34
Fintech Careers, Job Outlook And Salaries 35
Financial Analyst 35
Information Security Analyst 35
Blockchain Engineers 36
The Fintech Model Benefits 37
Financially Rewarding 37
Slow Incumbents 37
Customer Base Loyalty 38
Economic Democratization 38
How Does Fintech Affect Me? 39
Why Is Fintech Important To The Business World? 41
How Could Fintechs Contribute To Unbanked Populations? 43
The Problem With Being Unbanked 44
Does Fintech Actually Contribute To Financial Inclusion? 45
Fintech Strives To Remove The Barriers Of Exclusion In Finance 46
Fintech Gives Access To Digital Payments And New

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Markets 47
Reducing The Sme Financial Inclusion Gap 48
Digital Payments: Reducing Fees And Encouraging Economic Growth 49
The Road Ahead: A Digital Revolution In Financial Inclusion 50
The Technologies That Power Fintech 52
How Safe Is Fintech? 53
How To Value A Fintech Startup 54
Company Valuation Approaches: Starting At The Top 54
Valuation Of Financial Sector Companies: Traditional Approaches 56
Banks 56
Mutual Funds 56
Insurance Companies 57
Wealth Management Firms 58
Understanding The Components Of Fintech Valuation 58
Problems Solved 59
Tam/Sam (Total Available Market/Serviceable Available Market) 59
New Use Cases 59
Lower Distribution And Setup Costs 60
Lower Operational Costs 60
Revenue Models 60
Cross-Selling 60
The Stages Of Fintech Development And Investor Profiles 61
Starting Out 61
Gaining Traction 61

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Full Steam Ahead 62
How To Value A Fintech Startup: Valuation Methods 62
Scorecard Valuation Model 62
Berkus Method 63
Risk Factor Summation Method 63
Cost To Duplicate Method 64
Venture Capital Method 64
Major Challenges Of The Fintech Industry 65
Security Problems And User Privacy 65
Keeping Up With Modern Technologies 66
Quality Of Software 66
Industry Regulations 67
Solutions For The Major Challenges Of The Fintech Industry 68
Implementing Innovative Authentication Processes 68
Outsource Application Development To Experts 69
Hiring A Legal Consultant 69
Fintech Trends For 2022 71
Digital Banking 71
Blockchain 71
Artificial Intelligence And Machine Learning 72
Conclusion 73
References 74
About The Author 75

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

INTRODUCTION

There are countless startups from across the globe that have come in to disrupt the world of finance. The amount of innovation happening in the financial industry is staggering. Everything from marketplace lending to alternative financing is being explored as companies look at new ways to attract funding and provide services to customers.

Fintech has quickly become one of the hottest industries in the world. The term refers to financial services being offered by technology companies, and it's an innovative approach to meeting customer needs. Despite the growing popularity of Fintech, it can be difficult to navigate the industry. That's where this super guide comes in. The focus is exclusively on Fintech, not just limited to banking but also including insurance services, lending and borrowing options, digital payment, and alternative currency services startups, such as Binance and Coinbase.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHAT IS A FINTECH?

A fintech company is any business that uses technology to change, improve, or streamline a financial service for businesses or consumers. These include mobile banking solutions, online payment services (Venmo and Wise, formerly known as TransferWise), automated portfolio managers, and cryptocurrency trading platforms (Binance and Coinbase).

In other words, finTech companies use technology to offer you new and better ways to manage your money, pay for things, insure yourself, and invest money.

FinTech companies provide services once exclusively offered by banks and other financial institutions. This competitive alternative to traditional banking has slowly eroded the financial landscape as FinTech companies market a variety of products and services in popular categories, such as investments, equity financing, personal finance, lending, and consumer banking.

In many cases, the start-ups are providing better products at lower prices than the established institutions. For example, some start-ups are providing cheaper sources of loans than banks; on the other hand, others are offering slightly more expensive credit cards with lower interest rates and better rewards programs. FinTech companies also provide services such as home mortgages. Lending Club, as a fintech example, is a website that provides low, fixed interest rates on loans by aggregating loan requests and passing them to peer-to-peer investors who decide whether to approve these loans or not. The company has grown so rapidly that in less

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

than ten years it has reached several hundred million dollars in lending volume.

The term fintech was first used in the 21st century to describe new technologies, such as cloud-based back-end services, that were used at brick and mortar financial institutions. Over time, though, companies began creating technological products and services for consumers, and now fintech comprises a range of business-to-consumer (B2C) financial services, such as peer-to-peer payments, crowd fundraising, microfinance, and cryptocurrency investments.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

HOW ARE FINTECHS DIFFERENT FROM TRADITIONAL BANKS?

Fintech companies generally sell a single service or product to consumers using sophisticated technology. Traditional banks, on the other hand, focus more on helping customers with general customer service problems and selling them more products. But the difference between them is diminishing rapidly, as banks of all kinds have become more innovative, with new models and solutions based on cutting-edge technology.

To analyze the differences between fintechs and traditional banks, there's a need to look closely at differentiating factors like purpose, coverage, structure, collateral, target customers, and technological reliance.

- **Purpose:** Fintech companies and banks approach their customers very differently. Fintech companies aim to make the customer experience seamless and convenient, while banks are more concerned with security and managing risks;
- **Coverage:** Today, thanks to technological trends — smartphones in particular — the financial technology (fintech) market has become much larger than the banking market;
- **Structure:** Fintech organizations have more flexibility

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

in adapting to an ever-changing environment and are therefore more open to innovation. Banks, on the other hand, have an inflexible organizational structure;

- **Collateral:** FinTech lenders tend to offer flexible collateral requirements. On the other hand, banks tend to have stricter requirements and are less willing to accept high risk;

- **Target Customers:** Fintech companies offer financial products to customers who have a spotty credit history (such as individuals whose credit rating has been damaged by a medical emergency or sudden job loss) while traditional banks provide loans to customers with strong credit ratings;

- **Technological Reliance:** Fintech companies rely on technology to streamline their banking systems, whereas traditional banks do not use it as extensively.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHY IS FINTECH GROWING?

Recently, the fintech sector has been growing at a rapid pace. According to a new EY report, 64% of consumers worldwide are now using fintech services, and awareness of financial technology is extremely high. Eighty-six percent (86%) of consumers surveyed said they were aware of fintech offerings such as payments or money transfers, and three-fourths of those people said they had used one before.

Here are three factors driving the rise of financial technology:

1. **Their Focus on the Unbanked and the Underserved areas of banking**

   Because incumbent players in the finance industry have traditionally focused on high-margin businesses, lower-margin businesses have often been neglected. Banks have scaled down their retail banking business and have focused almost exclusively on larger corporations. Even within the commercial banking business, many banks have made it a priority to focus on large corporations over small and medium enterprises and individuals.

   The success of alternative lending services and the steady growth of fintech startups emphasize the important role that new financial technology plays in improving economies. Banks must not ignore their responsibilities to small businesses, nor should they focus solely on their current profits without

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

considering the long-term impact of their decisions.

Along with serving the underserved, fintechs are also equally giving the unbanked platforms where they can get financial services cheaply. Since they don't have the infrastructural burdens of traditional banks, they can easily offer financial services at affordable prices.

2. **Lack of trust in the traditional banking industry**

According to the regtech firm Fenergo, since the financial crisis of 2008, banks have been fined $36 billion for noncompliance with global anti-money laundering, know-your-customer, and sanctions regulations. Twelve of the world's top 50 banks received fines in 2019. The Deloitte Trust Index for Banking 2018 also found that just 21% of respondents said they thought banks had customers' best interests at heart.

This has created an open door for fintech companies, which make their money by offering technological tools that are more transparent in their operations and give ordinary people more control over their finances.

3. **Niche Focus**

Since most fintech companies only focus on a certain subcategory of the financial industry, they have the advantage of focus and low operating costs that allow them to improve their technologies far quicker and respond to customer trends better than traditional banks. This focus on a single subsector also allows them to better protect customer data and employ AI technologies to better understand customer behaviors and needs.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

FINTECH EXAMPLES & USES

Fintech companies are changing the way the financial industry works, but large banks and traditional financial institutions have also begun to catch on to the advantages of fintech programs. Here's a rundown of how fintech services are being adopted and used to influence some industries.

BANKING

Mobile banking is a valuable part of the fintech industry. In today's fast-paced world, consumers want to be able to access their bank accounts on the go, and many major banks have created mobile apps that allow for this. Most new banks are now solely digital or "neobanks" — digital-first, creating a smoother, more convenient banking experience.

Neobanks are a relatively new type of financial institution that operates entirely online and via mobile platforms. They offer a full banking experience, including checking and savings accounts, payments, and loans.

CRYPTOCURRENCY & BLOCKCHAIN

Cryptocurrency exchanges let you exchange fiat currency for cryptocurrencies, such as Bitcoin and Ethereum. These exchanges have made it easy for people to come together on their platforms and engage in the trade of cryptocurrencies. Blockchain solutions keep records stored in a public ledger,

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

which can help to reduce fraud by keeping records of ownership on the blockchain.

Blockchain is an integral technology used in cryptocurrency mining and transaction processing, while improvements in cryptocurrency technology are driven by advancements in both blockchain and fintech.

Blockchain and cryptocurrency are two technologies that, at first glance, may seem distinct from fintech. Though they operate independently of fintech companies, many in the fintech space see both as important tools bolstering the financial technology sector. These technologies are necessary and helpful in the creation of applications that move fintech forward.

INVESTMENT & SAVINGS

Fintech companies have brought new types of investing apps to the market, like Acorns, Stash, and Robinhood. These apps make it easier than ever for people to save and invest their money.

Different apps take different approaches, with some using savings to automatically invest in the market via instant round-ups and others using a recurring deposit or match system, each offers consumers the chance to discover how investing and saving works — and the potential for financial freedom and success.

MACHINE LEARNING & TRADING

Machine learning has been increasingly important in the financial technology industry. It gives these businesses the ability to predict market behavior and make millions of dollars in risk-free profits. By processing large amounts of data with

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

specialized algorithms, artificial intelligence can help consumers, businesses, banks, and other organizations to better understand their investment risks. This allows them to make better investments with more information beforehand.

PAYMENTS

Making small payments with a smartphone app has become second nature, and that's good news for fintech companies. The phrase “I’ll Venmo you” is now used synonymously with “I'll pay you later.” This is a big win for Venmo, a fintech company, since popularity equally means more profit. Payment companies like Venmo, Zelle, PayPal, and Stripe have changed the way we all do business — now you can send money digitally anywhere in the world.

LENDING

Fintech companies are also hoping to make lending more efficient by making the assessment process quicker and more accessible. Many fintech companies have started offering loans from mobile phones, which has helped underserved populations.

Consumers can now request reports multiple times a year without affecting their credit score — meaning that the lending world is more transparent. Well-known credit-related companies include Petal, Tala, and Credit Karma.

INSURANCE

Insurance technology is streamlining the insurance industry. Through the applications of various technologies in the insurance industry, insurtechs are improving the insurance customer experience by speeding up processes for

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

evaluating risk, processing claims, and activating policies. This can make buying insurance faster and easier.

Insurtech is a branch of fintech that's rapidly growing. It helps modernize an industry that traditionally hasn't been a fast adopter of new technologies, but insurance companies are now partnering with fintech startups to reduce costs, increase their reach and improve efficiency. Many insurance companies are beginning to innovate with wearable technology that measures health, as well as mobile car insurance.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

DIFFERENT TYPES OF FINTECH

ROBINHOOD (STOCK TRADING)

In the last few years, the popularity of trading stocks online has increased dramatically. Robinhood is a platform that allows its users to trade stocks online. They make it more affordable to invest in the stock market by eliminating fees charged by other brokerages. The company's founders recognized that executing trades doesn't cost brokers much, so they decided to give their customers that benefit. Mobile users can now trade stocks more freely through Robinhood's fee-free trading platform. In addition to commission-free stock trading and exchange-traded funds, the company has recently begun offering cryptocurrency trading.

Robinhood's model enables customers to invest more using the money they're saving on exchange fees. Their popularity and enormous $5.6 billion valuations come from venture capital investment, which has allowed them to expand beyond trading stocks. Robinhood offers a premium tier of service which allows users to trade using margin, but the basic stock-trading functionality remains available for unlimited use at no additional cost.

VENMO (P2P PAYMENTS)

Venmo is an example of a peer-to-peer payment resource, which makes it easy for people to initiate transactions with

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

friends and family or relatively inexpensive payments to businesses. It is a popular service that allows users to perform transactions directly through digital file-sharing). People increasingly use their smartphones to make payments. Venmo gained popularity by capitalizing on that trend and offering an easy, social way to split payments between friends.

KLARNA (E-COMMERCE)

Klarna is a fintech company that offers shoppers a variety of payment options for everything from e-commerce to big-ticket items. These options are direct payments, pay-after-delivery options, payments for a storefront, or even plans where the customer can pay in installments over time. The service, a regulated bank, provides a way for consumers to pay for what they want now and delay payments until later. After paying a small fee or interest, customers are able to purchase goods on credit and make installment payments to the bank.

WEALTHFRONT (WEALTH MANAGEMENT)

Wealthfront provides simple, low-cost investments and financial advice in an effort to help users to grow their wealth according to set goals. It's a technology-driven investment company that uses data and automation to build investment portfolios and make financial recommendations. The fintech robo-advisor helps users to set and achieve their financial goals through an automated investment plan that continually adapts to changing market conditions.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

SQUARE (BUSINESS PAYMENTS)

In the past, small businesses that wanted to accept credit cards were forced to use cumbersome equipment or give up a relatively high percentage of their profits; with Square, they can accept payments from credit cards using only a terminal, a smartphone, or a tablet. Square gives small businesses an easy way to collect payments, print receipts, and offer their customers virtual gift cards.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

STATE OF THE FINTECH MARKET, HOW DOES FINTECH MAKE MONEY?

The FinTech sector is booming. “Funding hit a record $91.5 billion in 2021 — nearly double its total in 2020. In the third quarter of 2021, 42 FinTech startups became unicorns, growing to 200 for the year.” State Of FinTech Q3 '21 Report.

The CB Insights report found that Tiger Global Management and Coinbase Ventures made the most investments in FinTech companies in the third quarter of 2021, with 24 and 22 deals, respectively. The U.S. accounted for the largest number of FinTech deals in the last quarter, with 38% worldwide; Asia came in second with 26%.

There are many unicorns in the financial technology sector. As more and more young entrepreneurs begin to understand this, experts believe that every nation with a population over 100 million will soon boast its own innovative financial technology company.

The majority of FinTech companies are, however, still in their early stages, focusing on growth rather than profitability. This makes sense because the most valuable FinTech startups, Monzo (valued at over $2.5 billion) and N26 ($3.5 billion), are not profitable — yet. In contrast, neobanks like Starling Bank and Revolut are more mature and are already profitable.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

CRYPTO-TRADING/CRYPTOCURRENCIES-BASED

A study published by NORC, a University of Chicago research group, shows that more than 13 percent of Americans began investing in cryptocurrencies in 2020. This number is expected to rise in the coming years.

Blockchain gives the FinTech industry a leg up on the startup revenue generation competition, but it is not the industry's only tool for making money. A report by Gallup indicates that 56% of the US population own at least one share of stock, and a substantial percentage of those shares is actively invested in the stock market.

There’s never been a better time to start an asset exchange platform — this is because the world of cryptocurrency is exploding, and if you could build a token-exchange platform and promote it well, you might be in for a big profit. Here is a way fintech makes money in the crypto world:

For every trade a user makes, crypto fintech startups charge a commission. And for user acquisition, they offer users a referral commission for every new customer they refer to the platform. Some add a requirement clause before the commission is issued, like making it mandatory for new users to transact on the platform before the commission is given, this ensures the platform profits from the referral before issuing the commission. Other platforms give out a specified referral commission regardless of the transaction.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

CROWDFUNDING

Crowdfunding is an innovative way to raise money to support a project or entity. It involves people making small contributions from diverse sources, thus providing financial backing for a person or product. Because of the social networking nature of crowdfunding, a creator can gather much more capital faster online/offline than by approaching investors one by one.

There are several ways of incentivizing the multiple investors, this could be by providing perks, exclusive content, delivering beta versions of the product to backers, or offering them small stakes in the resulting business.

You can also raise money through crowdfunding in ways that don't require any "return" — meaning, you don't have to offer anything in exchange for the money. An individual might be happy to give a few dollars to help a business grow, for example.

There are a number of sites that support smaller authors, publishers, and characters by allowing them to seek funding from their fans and supporters, for example, Patreon, Buy Me a Coffee, and Patronite. Some of these platforms generate income by taking a commission on the total funding raised.

DIGITAL WALLETS (E-WALLETS)

More and more people are giving e-wallets a try since the start of the pandemic, because they make it so much easier to pay for things.

An electronic wallet is a payment system that combines features of a bank account and a credit card, allowing consumers to load money onto their virtual wallets and use it

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

to make purchases at participating retail outlets.

The introduction of e-wallet applications to the marketplace has fostered a very positive outlook for the future, where cash will play virtually no role in commerce.

Digital wallet fintech promotes cashless economies by allowing customers to pay for items with the tap of their mobile device without having to physically handle currency or going through the checkout process. Such companies make money in two ways: 1) By charging merchants a small fee for every transaction, and 2) By charging service fees for third-party financial services provided to their customers.

LENDING / P2P LENDING

The financial technology sector is growing, thanks in part to the increasing number of loan platforms available on the market. Peer-to-peer lending systems are a subcategory of this software development market.

Peer-to-peer lending is a way that people can borrow and lend money by cutting out the middleman. Banks make money by charging interest, and cutting the banks out of the equation allows borrowers to get loans at lower rates. Fintechs that operate in the P2P lending sphere earn commissions whenever they connect two parties who want to borrow or lend money.

Investors can benefit from a system that allows them to borrow at lower interest rates than are typically offered by the debt markets.

Several FinTech software companies have developed platforms that match different lenders to borrowers and charge fees on the repayment process. These companies

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

help to optimize the commercial lending space by providing financial planning or management solutions for lending money. There is still space, however, for entrepreneurs who can develop applications that provide additional and better services.

A growing number of students are choosing to pay for their higher education through loans that carry a low-interest rate, which is expected to boost the number of borrowers like them. This FinTech business model is gaining momentum in regions such as Africa, South America, Asia Pacific, Europe, the United States, and the Middle East. To reach the greatest number of consumers with your P2P application, you should consider developing in these parts of the world.

ROBO-ADVISING

Robo-advisors are apps that use algorithms to manage your investments for you. They're great because they allow users to invest in stocks or funds without paying hefty commissions to a human broker. Robo-advisors can be customized based on an individual's risk tolerance and savings goals. AI and ML technologies are used by these platforms to manage portfolios and streamline the investment process.

An advisory robot platform might charge a one percent commission on the total assets it manages, for example, while a portfolio management firm might charge as much as five percent.

SUBSCRIPTION-BASED

Many FinTech companies focus on the subscription model for monetization, letting clients pay for their service on a monthly, quarterly, or yearly basis. Or they employ a freemium payment model in which the app is free to use, but some

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

features are available only through a paid subscription.

By setting up a subscription plan for your FinTech app, you can generate an income by charging your users on a flat-rate basis. Since this type of subscription has been proven to be one of the more profitable strategies for FinTech apps, it is worth trying out.

An example is Monzo Digital Bank, “For £15 a month, Monzo Premium members get phone insurance, exclusive discounts, five free cash deposits per month, 1.5% AER interest on balances up to £2,000, and the possibility of withdrawing £600 + no commission in cash abroad.” - Idea Motive

ADVERTISING

Apps can be used to generate digital advertising revenue. App developers can host advertisements on their mobile applications, and sell ad space from third-party networks to local and national businesses. There is a great deal of potential for revenue with this opportunity, since it will be paid every time an ad is clicked. You can form strategic partnerships with lenders, merchants, and banking firms to help to promote your app.

For this type of FinTech company, your money management app can generate revenue through banner and multimedia ads.

Banner Ads: Displayed mostly at the top or bottom of the screen, they come in different sizes and shapes.

Multimedia Ads: These ads are interactive, with various creative elements, from text to images, videos, or audios to mini-games. They don't require customers to close the ad to continue using the app.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

APIS AS A REVENUE STREAM

Companies are increasingly partnering to better serve customers with customized products in newly emerging markets thanks to the partner's access to customers' data via APIs. For example, FinTech company A has developed a particular feature that helps its customers to better manage their finances. FinTech company B, who has no access to banking information, is only allowed to provide its services by partnering with the bank that has the customer's financial data.

FinTech companies sell licenses and code as a result of their new business model. This collaboration has proven to be a boon for the companies who are doing it, and for the smaller institutions that are looking to grow. However, finding developers who can develop the interfaces that will allow banks and other financial institutions to access customer data in secure ways will be key, as they will likely find themselves making quite a bit of money in the process.

As Open Banking gains traction, more and more FinTech companies will adopt this strategy to boost revenue. In the next few years, FinTech companies charging retailers and other companies to use their banking infrastructure will become a new way of increasing or sourcing revenue.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ARE FINTECH COMPANIES PROFITABLE?

Yes, however, while fintech companies in the US and Asia find it easier to make profit, those in Europe have to find different ways to break even, this is because fintech companies in Asia and the U.S. generally rely on interchange fees. The issue is that interchange fees are low in Europe, meaning that fintech companies need to look elsewhere to grow revenue.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

HOW DO FINTECH CASH FLOWS WORK?

It makes sense that, when it comes to cash flow volume, the fintech industry is dominated by firms that help individuals and businesses to access money either in the form of loans, credit cards, etc. These services send billions of dollars each month, whereas the financial management or portfolio management software fintechs that are global in scope can only handle a fraction of that amount.

While some startups provide a variety of services to individuals, including the sale of houses with all-cash offers, others facilitate the acquisition of loans/funding through debt capital provided through capital providers to eCommerce and SaaS companies. New fintech companies are raising hundreds of millions of dollars in equity, debt, and venture capital this year alone, but many investors, operators, and founders remain in the dark about how that capital flows. Here's how:

THE THREE KEY PLAYERS IN FINTECH CASH FLOWS

Let's explore the three parties involved in fintech transactions: Capital providers are the institutions that provide debt capital to fintechs, and can be banks or private lenders. Fintechs are the tech companies that provide financial services to customers. And finally, fintech customers are the people who

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

use those services.

We know that Owl Financial uses its credit facility to fund cardholder purchases, but how does that process work?

THE FOUR KEY ACCOUNTS IN FINTECH CASH FLOWS

Now that we've outlined the main players in a fintech cash flow, let's look at their bank accounts. In this example, let's say the capital provider and customers have single bank accounts. The company setting up the fintech has a single Parent Operating Account and has also set up an SPV that administers a separate bank account.

Owl Financial relies on two accounts to operate: the Parent Operating Account and the Borrower SPV Account. The Borrower SPV Account is where customers pay down their credit card bill, so that's where payments will be deposited when customers make a payment. The Parent Operating Account is used for expenditures like paying bills and their employees.

The credit facility gives the fintech a line of capital, but it's drawn against the firm's receivables which have been assigned to the SPV. The value ascribed to those receivables is based on their projected cash flows, since the capital provider views the SPV as their collateral.

To get those receivables, the fintech must make disbursements to its customers and then assign those receivables to an SPV. If a fintech startup hasn't done business with any customers, it would have no unpaid balances or receivables. That means the startup wouldn't have collateral to offer up to a lender, so the startup wouldn't

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

qualify for a cash advance from the capital provider.

The startup would need to "create" credit facilities by disbursing funds to customers and assigning their accounts as collateral. Disbursements to customers are required for a fintech to kick off its credit facility with an SPV.

THE FIVE STEPS OF FINTECH CASH FLOWS

1. **Disbursement:** The Parent Operating Account is where money is transferred from to make the initial disbursement to the customers. For example, when Owl cardholders swipe their cards at a mall, Owl Financial is effectively wiring money to the mall on behalf of its cardholders. During this process, Owl Financial records an IOU for the customer. Owl's Parent Operating Account owns this receivable, also called an IOU;

2. **Assignment:** In this step, Owl Financial assigns the receivable to the SPV. Exactly as if Owl Financial handed over an IOU to SPV and said, "The Borrower SPV will receive the payment when the customer pays the credit card balance";

3. **Funding:** The Capital Provider will size Owl's advance rate based on the total amount of Owl's receivables. Let's say that Owl's customers spend $10 million. Now, Owl has $10 million worth of IOUs, so Owl can go to its Capital Provider and asks for an "advance" (or short-term loan) against its own IOUs;

4. **Collection:** In addition to decreasing IOUs (or receivables) held by the Borrower SPV, the money

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

paid by Owl cardholders during repayment goes directly into the Borrower SPV Account to increase cash in the Borrower SPV Account;

5. **Waterfall:** At the end of each billing cycle, collections are automatically released to the lender and other parties for payment of interest and fees. The remainder is recycled for funding of new accounts. After that, the process starts over again. However, this time, the credit facility will fund the initial principal disbursement to the borrower. The sequence of this process is how fintechs can utilize credit facilities in the long run.

WHY SHOULD INVESTORS AND OPERATORS UNDERSTAND HOW FINTECH CASH FLOWS WORK?

The credit card industry is no longer the exclusive territory of major banks. Innovative entrepreneurs have started many small credit card companies in recent years, and for these companies to succeed, they need to find vendors to help them to get started. Entrepreneurs can use Marqeta, Lithic, and Stripe when starting a credit card company. These are popular companies that can help you to deal with certain credit card-related tasks, like issuing cards and monitoring your customers' spending habits.

But companies that have to source and manage debt capital face some special challenges. In order to prepare for debt capital management costs, investors and operators should be aware of how fintech cash flows work.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

FINTECH CAREERS, JOB OUTLOOK AND SALARIES

FINANCIAL ANALYST

Financial analysts help businesses to make decisions that can lead to a stronger financial performance. Their job is to use critical thinking skills to assess the performance of stocks, bonds, and other financial indicators.

Right now, the field of finance offers many opportunities to those who choose it as a career. According to the BLS, the number of jobs for financial analysts is expected to increase by 5 percent by 2029, and the average salary for a financial analyst was $83,660 in 2020.

INFORMATION SECURITY ANALYST

Fintech companies have to keep their data safe: information security analysts help by planning for and implementing security measures. Looking into information security analyst careers may prove to be a great decision. According to the Bureau of Labor Statistics, this career field is expected to grow by 31 percent by 2029, and the median pay in 2020 was $103,590.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

BLOCKCHAIN ENGINEERS

Blockchain technology is becoming more commonplace. Blockchain engineers, who are responsible for designing, building, and maintaining decentralized blockchain applications like cryptocurrency exchanges and lending platforms, may be in high demand in the financial sector.

As of 2020, CareerOnestop reports that blockchain engineers earn a median salary of $92,870 per year. In 2029, the number of jobs in this field is expected to increase by roughly 6 percent.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

THE FINTECH MODEL BENEFITS

FINANCIALLY REWARDING

The financial sector is a hotbed of investment ideas, not just because it's so large, but also because of its impressive opportunities. Startups in the financial-services field are among the best-funded and most valued, including Coinbase and Wise, ex-TransferWise.

With Statista's data showing that 75% of consumers globally have adopted a money transfer or payment service, you can bet that the future of fintech is promising.

SLOW INCUMBENTS

Many traditional banks use old technology that does not adapt well to new consumer trends, which makes altering their offerings and business models a challenge. Some new banks have begun stealing customers from existing brick-and-mortar banks. Many established banks have responded by forming alliances with these new banks, providing the new companies with banking licenses and regulatory knowledge.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

CUSTOMER BASE LOYALTY

The average adult in the United States has had a bank account for more than a decade. Banks provide trustworthy financial services, from safety deposit boxes to loans for buying houses. Banks can also help their customers to make the most of their money in the present and plan for the future.

Despite the fact that customers can be quite expensive to acquire, they are often quite loyal to their banks.

ECONOMIC DEMOCRATIZATION

Trading has always been a means of setting up income. Whether it's setting up an autonomous business or revamping the traditional business setup, not everyone had the opportunity to get their hands on this lucrative field. But with the change in technology, the financial services sector has become more and more open for individuals to start their own businesses.

Because of improvements in technology, automation makes it possible to make products more reliable and less expensive. Previously, only people at the top of the corporate structure could have access to such tools, but individuals at all levels can now enjoy this benefit.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

HOW DOES FINTECH AFFECT ME?

One new area of focus for fintech is accelerating processes that formerly took days or months, such as requesting credit reports or sending money internationally. Upstart and Wise cut the time it takes to accomplish these tasks from what was previously required; it is possible that fintech could shorten some traditionally lengthy, red-tape-filled processes, such as the distribution of economic stimulus funds.

The Fintech industry has the ability to improve financial services for all people, including those who would otherwise have difficulty accessing them because of distance, limited support, or cultural barriers. Unlike traditional brokers and advisors, fintech companies use algorithms as well as human oversight to provide assistance and guidance to their clients. For example, businesses that offer fintech solutions can streamline money transfers by using cutting-edge technology to connect users from one geographic location to another.

In the financial services arena, new platforms are making it possible for consumers to bypass traditional bank branches and take advantage of automated services such as Lending Club (for loans) and Better (for mortgages). These services have made it easier for casual investors to hire professionals without having to meet in person. Investors can now choose from a growing number of robo-advisors, which provide automated advice and financial planning guidance with minimal human oversight.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Fintech companies are mobilizing to help customers to stay afloat amid the financial turmoil caused by the pandemic. Some of these fintech companies, like Lending Club, are speeding up assistance programs because so many people have been affected, while Stripe is focusing on helping the front line, employing telemedicine platforms. The bottom line is that you can make your own decision about how fintech impacts your life. If you want to interact with fintech companies more, you can do that. Or you can use only a few fintech services and ignore others. Ultimately, it's your decision!

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHY IS FINTECH IMPORTANT TO THE BUSINESS WORLD?

The availability of financial technology (fintech) has forever changed the way businesses do business. Traditional ways of turning to a local high street bank and/or a conventional investor are no longer the only option. Businesses no longer have to incorporate conventional means, thanks to the fintech revolution. Today, people can set up their own businesses with little effort, thanks to crowdfunding and other alternatives, such as mobile payments.

Crowdfunding has made it easier for entrepreneurs to get funding from the public, often in exchange for rewards. Instead of pitching to investors and waiting for months to see if a deal can be reached, crowdfunding allows entrepreneurs to pitch directly to the world.

A couple of decades ago, entrepreneurs were forced to use old-school banks when transferring money abroad. If they wanted to send a sum of money to a foreign business partner, they would have to pay high fees, which often proved to be an unaffordable expense for many startups. However, the situation has changed radically since then.

The emergence of fintech firms like Wise has completely revolutionized how entrepreneurs manage their flows of capital. Thanks to the revolutionary Wise service,

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

entrepreneurs can now transfer money anywhere in the world at much lower prices than before.

Fintech firms offer many ways to lower costs and increase the ease with which businesses manage their finances. Because they are generally smaller than traditional banks, fintech companies can lower costs by working in innovative ways and can use technology to adapt to changing banking technologies and make doing business easier.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

HOW COULD FINTECHS CONTRIBUTE TO UNBANKED POPULATIONS?

Across the globe, there are 1.7 billion adults who don't have bank accounts or a mobile money account, according to the World Bank. Many of those people live in developing countries, where unstable currencies and weak banking systems make opening an account seem risky.

But with 1.1 billion unbanked adults owning mobile phones, financial technology companies are developing mobile applications that allow people to manage their savings and transfer money through their mobile phones, opening access to the underbanked and unbanked populations.

By providing financial services to the unbanked, fintech gives those people a chance to have access to the same economic opportunities that banked citizens enjoy every day. For example, OpenPay allows Mexicans to pay online without having a bank account. A person without a bank account can now make money transfers online, which stimulates the economy.

Several technology companies have already begun to target this emerging market. With an unbanked population, there is much room for growth. The more companies invest in these

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

developments, the more they will encourage progress and diversify their ideas.

THE PROBLEM WITH BEING UNBANKED

More often than not, the reason for being unbanked is a matter of circumstance. Many immigrants, for example — who often lack a credit history —, are distrustful of banks, or their language skills are limited, which makes it difficult to open an account. In addition, young adults and students who just started out often avoid banking fees.

Those in this situation lack the chance to build a good credit history and are more likely to fall victim to fraud, predatory lenders, and the dangers of having to deal with large sums of cash. Many people like this are often taken advantage of when they make major purchases. Many often wind up paying sky-high interest rates to loan sharks and being sold a defective product or one that's overpriced. Cashing checks, obtaining money orders for bills, and paying interest on loans will likely cost them more than banking fees would.

Banks often don’t consider them creditworthy, so they can’t get approved for loans or other kinds of financial services. But that’s starting to change thanks to new fintech companies focused on helping them gain access to financial products and services.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

DOES FINTECH ACTUALLY CONTRIBUTE TO FINANCIAL INCLUSION?

The formal banking system has been built on the twin pillars of financial exclusion and discrimination. However, technological advances have created a new wave of fintechs, that are set to break down these barriers and make money work better for everyone around the world.

To be financially included, an individual should have access to affordable and valuable financial services. A transaction account is the starting point to this achievement because it allows individuals and businesses to send, store and receive payments.

Many unbanked or financially excluded individuals live in developing countries, some of which have few government regulations, limited access to electricity, and irregularly functioning infrastructure. There are also a high number of unbanked people in the U.S. — more than ten million adults —, who cite "no money to open an account" as their primary reason for not having bank accounts.

Financial inclusion is key for small and medium enterprises (SMEs), since a high percentage of SMEs report limited access to credit as a key constraint, especially in the Middle East, North Africa, and Central Asia.

Using financial technology to lower the cost of sending and receiving payments, as well as to improve access to credit for businesses in emerging markets, has allowed many more people and businesses to join the global economy. In

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

countries like India, digital payment services have helped to boost financial inclusion in more complex, rural landscapes.

FINTECH STRIVES TO REMOVE THE BARRIERS OF EXCLUSION IN FINANCE

Naturally, institutions aim to sell their services and products to those who are most likely to provide them with a profit. When we look back at the creation of banks, we can see that the accounts were initially accessible only by the upper classes of society. The percentage of people with access to financial services has gradually risen over time, although it still varies significantly from country to country.

Although many pilot programs have been established to grow microfinance, 6 percent of the world's unbanked population reside in Indonesia. China and India hold the largest unbanked populations because their fintech ecosystems are dependent on infrastructures like internet and electricity, government policies, and regulatory environments.

Despite its status as a fintech leader, the U.S. suffers from a relatively high number of unbanked population (people who lack access to financial services in a particular country). When surveyed, they cite finances as the main reason for their lack of bank accounts, but privacy concerns and trust issues with financial institutions are also among the causes.

While Black and Hispanic communities make up a large percentage of the underbanked population, this demographic spends $200 billion a year on bank fees and interest rates to access financial services. Thus, Blacks and Latinos are at a

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

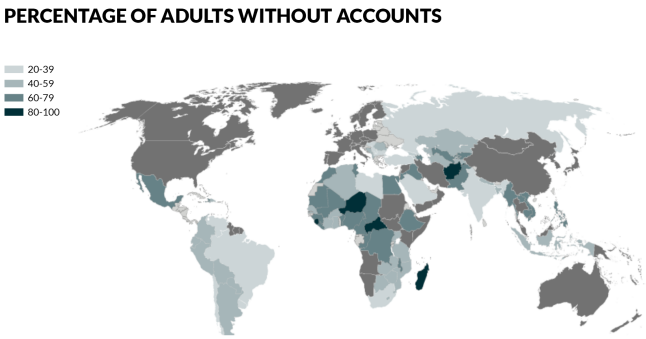
clear disadvantage economically.

The COVID-19 pandemic has caused drastic changes for people who are underbanked. Digital services have allowed more people to join the financial system as lockdown protocols and social distancing rules have caused many businesses to turn toward cashless payment options.

In some African and Asian countries, governments have worked alongside financial technology companies to expand digital financial services. This has liberated some consumers from using physical cash and given them greater access to exciting new technologies.

FINTECH GIVES ACCESS TO DIGITAL PAYMENTS AND NEW MARKETS

New technologies have created opportunities in emerging markets to challenge the status quo and bring financial services to previously unbanked populations. These alternative providers are leveraging mobile payments, online banking, and alternative lending platforms to give consumers more choices in where they bank.



This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Financial technology startups can be especially helpful for people in emerging markets because of their ability to find and meet the needs of consumers, who are not being served or underserved by traditional banking institutions.

Financial inclusion for emerging markets and the unbanked becomes a much more attainable goal when you look at the technology that is available today, such as mobile devices and biometric identification. Through their utilization of technology, fintechs keep variable and ongoing costs low and make profit generation possible by running, for example, a micro-loan program.

REDUCING THE SME FINANCIAL INCLUSION GAP

Not having access to credit in emerging markets severely limits small business growth. If a bank is hesitant to lend to such a business, it can be hard for them to grow and compete.

Emerging financial technologies have made it possible for businesses to apply for loans and eventually scale up without having to rely on traditional credit facilities. For example, Ant Financial (previously Alipay), a mobile payment platform in China that is owned by Alibaba, collects data from vendors' transactions on platforms such as Taobao and doles out credit facilities to small and medium-sized enterprises.

Importantly, Ant Financial's credit system has made available to small businesses access to credit that would otherwise have been difficult for them to obtain. This has enabled SMEs in China, for example, to secure funding for projects that might otherwise have floundered due to a dearth of information about the company and its owners in the eyes of

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

traditional banks.

Ant Financial has taken a unique approach to provide lending services to new companies. The company targets startups that have not yet established a profitable track record. It determines the creditworthiness of such companies based on the information it gathers about their business operations and repackages that information into a more precise risk pricing formula, according to the risk profile of the firm.

Ant Financial's platforms allow for the pooling of spare money from Taobao that can then be directed to small businesses in rural areas via supply chain financing. Finally — and perhaps most importantly —, Ant Financial serves as the perfect platform for these small businesses to gain access to financial services, a goal made possible only by the vast reach of the internet.

Fintech companies, including Alipay, are making it easier for businesses and consumers to get the credit they need. And digital payment platforms are helping to make banking more affordable for everyone.

DIGITAL PAYMENTS: REDUCING FEES AND ENCOURAGING ECONOMIC GROWTH

In several countries, digital payments have improved the payments landscape by expanding access to digital financial tools and services. Access to digital payment providers has benefited international migrant workers and their families at home by providing them with digital means of transferring money.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Payment solutions like Wise make sending money abroad both easy and affordable, making it easier to do business in places like China. In the country, 57 percent of account owners now use their accounts to shop online — up from about a quarter in 2014.

Fintech companies are creating innovative solutions for financial inclusion, helping people to build and grow businesses that support their families and communities. Fintech is improving the lives of Kenyans in amazing ways, just like M-Pesa, which allows people to send money quickly, instantly, and securely to anyone with a mobile phone. Through M-Pesa, millions of Kenyans now have access to a financial tool that was previously only available to wealthy individuals.

The International Monetary Fund has called the development of Digital Financial Services (DFS) a promising channel to overcome geographical barriers to financial inclusion. By making use of infrastructure for mobile phones, DFS gives millions of unbanked consumers access to financial services. In the emerging markets of Kenya, China, and Indonesia, DFS has had significantly positive benefits; in India's complex rural regions, DFS is contributing to financial inclusion as well.

THE ROAD AHEAD: A DIGITAL REVOLUTION IN FINANCIAL INCLUSION

When a business has access to credit, it can expand its workforce and help to inject new money into the economy. We know well that technology is enhancing these efforts. New mobile phone infrastructure throughout the globe has

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

allowed for the adoption of cost-effective digital payment services.

Mobile phones are also assisting in financial inclusion by offering low-cost tools and services to people living in colder regions, in poorer households, and abroad.

Thanks to digital payments, mobile phones are becoming an essential financial instrument in emerging markets. By 2025, it's projected that the digital payments sector will be worth over $1 trillion in transactions. Investments, lending, and insurance services are now on the scene. These will keep growing at a rate of 20 percent each year till 2025.

Digital finance alone can't address all financial inclusion challenges but, in markets such as Indonesia and Cambodia, a boom in e-payments is expected to boost per-capita GDP by 2 percent to 3 percent, and incomes by 10 percent in Indonesia and 30 percent in Cambodia.

The potential of digital finance could help to create a promising future for financial services in smaller markets such as Myanmar and Cambodia, where just a small amount of the existing need for financial services is currently met by formal providers. Through the development and expansion of digital financial services through advanced technologies, unlimited possibilities for growth can be created.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

THE TECHNOLOGIES THAT POWER FINTECH

AI, Big Data, and blockchain technology are three of the primary cutting-edge technologies modern fintech is based on. In other words, while AI can provide valuable insights into consumer behavior and spending habits, which businesses can use to better understand their customers, Big Data analytics provides more information to a business, essentially helping them to predict how the market will change. And blockchain is used for creating secure decentralized transactions without a third party involved.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

HOW SAFE IS FINTECH?

Fintech companies generally enjoy favorable reputations with consumers, as Forbes found that 68 percent of people were willing to use fintech tools designed by non-traditional institutions. However, many fintech tools are relatively new, and they are not subject to the same safety regulations as traditional banks. While this doesn't mean that consumers should be wary of fintech companies — it simply means that exercising caution is important —, however, most consumers feel that the benefits of working with a fintech company outweigh any potential risks.

As of now, there is no consensus on how safe financial technology is in general. Some people are certain that this question cannot be answered, because of the immensity and swiftness of fintech expansion.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

HOW TO VALUE A FINTECH STARTUP

The world has seen a growth in the number of new financial technology companies, or fintechs, who have created systems that make it possible to use technology to do business. There are thousands of fintechs around the world. The U.S., India, and the UK lead in fintech startups. Globally, investment in fintech startups grew to $30 billion in the first half of 2018, these startups have, since 2013, generated over $100 billion in funding.

COMPANY VALUATION APPROACHES: STARTING AT THE TOP

Traditional valuation processes often include methods like the discounted cash flow, multiples of revenue or book value, replacement cost, a price-to-earnings ratio comparable, and strategic/competitive value:

1. **Strategic/Competitive Value:** A company may buy another business that could become a threat to its own business. The value of the company is determined by how much it costs its competitor to acquire it;

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

2. **Discounted Cash Flow:** The discounted cash flow (DCF) model subtracts a company's estimated capital expenditures from its expected future cash flows to arrive at the present value of the enterprise;

3. **Multiple of revenue or book value:** Such a model determines the value of a company based on multiple factors, including its revenue or book value (assets value);

4. **Replacement cost:** When the target firm has assets that are hard to replace, such as patents and trademarks, you can use their estimated replacement costs as a benchmark for valuing the company;

5. **Price-to-earnings ratio comparable:** Another approach to valuing companies is to examine the price-to-earnings multiples of future earnings per share.

In most valuation processes, companies seek to arrive at a valuation of their company through multiple methods, and then, apply several different approaches to arrive at a range of possible values, before picking the one that matches their overall strategic, business, competitive, and return requirements. It is typically worthwhile to use these approaches where the business model is established, and the cash flow is relatively predictable.

On the other hand, fintech startups tend to have difficult business models to understand, as their business models are constantly changing, they don't always have a lot of physical assets, or they have negative cash flows.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

VALUATION OF FINANCIAL SECTOR COMPANIES: TRADITIONAL APPROACHES

Banks

Modern global banks are typically made up of several different divisions, including commercial banking, investment banking, wealth management, and advisory services.

A traditional bank like Citigroup would be valued based on its net interest margin, return on assets, earnings per share (EPS), and price-to-earnings (P/E) multiple. Net interest margins measure the efficiency of the bank and how efficiently capital is being deployed; return on assets measures the bank's ability to profit from the capital it has at its disposal; EPS shows how profitable this bank is relative to what the owners have invested in it; and P/E examines how much investors are paying for each dollar of earnings.

Some of these approaches concentrate on a bank's business model, which depends on the difference between deposit and loan interest rates, and also includes many other factors such as default prevention and capital structure optimization.

Mutual Funds

Asset management companies are usually valued according to a concept called "AUM," which measures their ability to generate profits depending on how much money they have under their management. However, this can vary depending on the types of assets managed (which may be mostly stocks, fixed income or something else), and how much they spend in management costs.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

A variation on this measure is to look at market capitalization to AUM. Income potential is correlated with the size of the fund — based on an underlying assumption that some large funds won't be able to grow income as fast as small ones.

Consider the following variables while valuing asset management companies: The size of the absolute investor base, whether that base is growing or stable, whether the company receives most of its income from public or private sources, and whether AMCs are regulated by a government body.

Insurance Companies

An insurance company would typically be measured on how much profit it makes compared to the money invested in it by investors (an indicator known as return on equity). Another way to measure an insurance company's valuation is to compare the price of those shares to the company's assets (book value).

Let's consider a few factors when valuing insurance companies. One of the most important factors is **premium income growth**, or how fast the company is boosting its premiums. A company that's gaining market share will likely see faster growth than an existing market leader. The same logic applies to new companies in growing markets.

Another measure to look at when valuing an insurance company is **returns consistency**, both in the short- and long-term. Because insurance companies need to hold reserves for payment of future claims, their payouts may change from one year to the next, depending on their holdings. However, over a longer period, it may be possible to discern some level of consistency in their returns.

Another factor that affects the valuation of an insurance company is **other comprehensive income (investment**

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

income). Insurance companies earn income from premiums and investment income, both of which make up their overall net profit and valuation.

Wealth Management Firms

From the perspective of the investment community, wealth management firms should be valued similarly to asset management firms. On the other hand, from a business perspective, the businesses operate under very different systems; fund managers are valuable, but their investment programs are more process-oriented to support large AUMs through standardized and regulated products targeted at a large market.

In comparison, wealth management firms are smaller and less regulated, which gives the value added by investment managers a customized or personalized feeling. In addition, relationships are important in sales, with clients relying on their trust, comfort level, and relationship with a particular manager or broker to decide whether to invest.

Consequently, before you try to value the company, you must first account for the variables that can affect the firm's future profitability.

UNDERSTANDING THE COMPONENTS OF FINTECH VALUATION

Let's look at some factors you should consider when determining the potential of a new generation fintech, versus traditional financial sector companies.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Problems Solved
When it comes to technology companies, the primary distinction between one that achieves success and one that fails is the problem being solved. Both Wise and its fellow Fintech startups have grown in value by looking for innovative ways to send money cheaply and easily, as opposed to old-fashioned analog solutions based on foreign exchange (FX) rates and different payment costs.

TAM/SAM (Total Available Market/Serviceable Available Market)
Some businesses are easier to scale across large regions because they don't involve an extensive infrastructure. Banks, for example, need to have offices, branches, distributors, and agents for their customers.

With fintechs — like the digital bank Revolut — this is much less necessary. They rely more on technology-based solutions such as apps and the internet and are available in many more countries than larger banks. This helps them to reach a wider audience in less time than it typically would take a traditional bank to expand.

New Use Cases
Innovative financial-technology companies are finding new ways to use technology to benefit their customers. For example, fintechs that enable low-value peer-to-peer payments could also dramatically reduce the amount of cash customers keep on hand.

In turn, fintech companies with these features are likely to accrue higher idle balances than traditional banks. In the fintech world, Paytm is one such example: Using P2P transactions, it enables friends to transfer money to each other, split bills, and make payments to small businesses.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Lower Distribution and Setup Costs

Generally speaking, fintech startups have business models built on networks and often enjoy lower infrastructure and setup costs than other firms. They have lower overhead costs. For example, Uber doesn't own any cars or need a lot of space to begin operations; likewise, fintech companies like Revolut and Wise don't need to set up physical offices in each location they serve.

Lower Operational Costs

Compared to high-cost brick and mortar businesses, tech-enabled businesses have lower marginal costs. By using the internet and internet-related technology, businesses can avoid costly real estate and infrastructure requirements. One example of a company that uses the internet to create a cost advantage is Monzo Bank. It has lower operating costs than traditional banks with their tech-enabled business model, which means they can offer much lower prices for services.

Revenue Models

Fintechs leverage network effects and revenue models to create sustainable businesses. It's important when evaluating a fintech to understand how it will make money, whether from the users themselves or from advertising or data sales. A company that focuses purely on gaining users without a strategy for making money might not be successful in the long run.

Cross-Selling

Fintech startups are often able to iteratively add new products and features to an initial version. They can leverage AI-generated insights about consumer behavior, which helps them easily find out what additional offerings they should offer. This is great for customers because it means the creators of the app are always listening to the customers and their needs. For example, Monzo started out as a prepaid card service, then added a current account, and now it’s

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

offering loans too.

THE STAGES OF FINTECH DEVELOPMENT AND INVESTOR PROFILES

Here is a look at the life-cycle (stage of development) of Fintechs and their investor profiles at different phases.

Starting Out

Once a founding team has been assembled, the next step is to create a prototype version of the new product. This prototype is typically a basic version of the final product, but it should be able to convey how the new product will solve the problem and should be able to demonstrate how to use it. At this stage, entrepreneurs typically fund their idea either by borrowing money from family, friends, or angel investors (entrepreneurs who provide small amounts of capital in exchange for equity in the company) or by bootstrapping. A total initial investment between $55,000 and $125,000 could be needed.

After funding for the startup, the founders use the money they've raised to build a minimally viable product that works and is available for customers to try out. This is the first step in making their product better by getting customer feedback.

Gaining Traction

After the startup has completed its initial product launch and marketing activities with the seed capital provided by the initial investors, it is able to attract seed funds and the attention of venture capitalists and angel investors, who will likely provide additional funding to enable further growth.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Startups can receive funding between $250,000 and 2 million in installments as long as they meet their agreed upon goals.

Full Steam Ahead

Once a company has adapted its product to meet customer needs and the product shows signs of scaling up, it's time to put together a more formal business plan, hire experienced managers and build a scalable system. At this point, the company begins raising Series A funding, looking for investors who will be willing to take on more risk in exchange for a greater return.

The coming steps will be a series of rounds of venture-capital funding that will lead to multiple rounds of expansion in geographies, team sizes, and possible acquisitions or mergers with other companies. This will continue until the company reaches a steady growth rate that culminates in an initial public offering (IPO) and a possible divestment by former investors.

HOW TO VALUE A FINTECH STARTUP: VALUATION METHODS

Unlike the traditional methods of financial services businesses, fintech startups have their own methods of evaluating valuations, these include:

Scorecard Valuation Model

Scorecard valuations start with an estimation of the average valuation for similar companies. Then, a target company is evaluated according to parameters such as debt to equity, EBITDA multiples, stock price volatility and market share. Investors then give these factors different weightings based on how important they think each one is. The total rating

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

quotient is then applied to the average industry valuation for an estimate of a target company's value.

Berkus Method

When evaluating a startup's value based on the expectation of revenue of at least $20 million, consider five major factors: A sound business concept, solid management experience, the existence of an actual product prototype, previous interaction with potential customers, and sales revenue. In order to come up with a valuation for your startup, we examine each factor separately and place a cap of $0.5 million on each one, for a total pre-money valuation cap at $2 million.

Risk Factor Summation Method

Here is a method that takes a wide variety of factors into account to arrive at the associated valuation via 12 parameters, such as:

1. Management
2. Stage of the business
3. Legislation/Political risk
4. Manufacturing risk
5. Sales and marketing risk
6. Funding/capital raising risk
7. Competition risk
8. Technology risk
9. Litigation risk
10. International risk

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

11. Reputation risk
12. Potential lucrative exit

Each of the 12 parameters is then rated on a scale of 5 points (from 2 to -2) and multiplied by the appropriate factor ($250,000). The sum of all of these factors gives the total indicative valuation.

Cost to Duplicate Method
When a startup is acquired, it can be difficult to gauge its value. One method for estimating the business's worth is to consider how much it would cost to reproduce its technology and team, instead of looking at the business's physical assets.

Venture Capital Method
Investors typically create financial formulas to project the future success of their startup investments. Let's say that you're an investor hoping for an ROI of $15 million when a startup is sold. You believe that the company will be sold for $15 million, so you plug those numbers into a financial formula (exit value/ROI): 15M/15x = $1M.

These calculations tell you that the startup' post-money valuation is $1 million, so if you want to invest $250,000 for 25% ownership of the company, your pre-money valuation would be $750,000.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

MAJOR CHALLENGES OF THE FINTECH INDUSTRY

Fintech, an emerging industry that uses technology to improve financial services, faces four main obstacles to success. To avoid the pitfalls of these problems, companies in this business sector should prepare before they act.

SECURITY PROBLEMS AND USER PRIVACY

Fintech growth in Europe has taken off. Fintech investments have been skyrocketing and continue to do so, with 72% growth throughout 2020. However, this rise in popularity comes with its own set of problems. Cybercrime has been increasing as well, with attacks now happening every 39 seconds. Unfortunately, fintech companies are one of the most common targets for hackers. More data is being handled by fintech institutions, so protecting it is more important than ever before. Otherwise, data leaks like the one that happened with Pepperstone will only become more frequent and widespread in the future.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

KEEPING UP WITH MODERN TECHNOLOGIES

In a 2019 Gartner CIO survey, more than half of business CIOs believed businesses will operate largely through digital channels or that digital initiatives will bring in the most value and revenue. This highlights the importance of Fintech trends in the future — businesses that use out-of-date systems will not be able to keep up with an increasingly focused world on digital technologies.

The use of cloud computing, artificial intelligence, and other new technologies can help businesses to reduce costs while also increasing customers' satisfaction and market share. The cost and risk of making the switch to this new technology may be high, however. Banks and credit unions can cut costs and streamline their IT systems with cloud computing. This gives them access to new technology, which helps them reduce costs and improve the way they do business by allowing them to access better data analytics for the improvement of consumer banking products.

Artificial intelligence software can help financial institutions to succeed by giving them a deeper understanding of customer behavior and needs. This allows banks to sell the right product to the right customer with great accuracy. Banks also can use AI tools to gather essential information about how the organization operates, so they can stay flexible.

QUALITY OF SOFTWARE

Among those competing in the digital transformation race, financial institutions that use the latest business technologies — particularly cloud applications — have an advantage. Their

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

flexibility and scalability give them the ability to innovate faster and better than their competitors.

However, digital transformation means a company's software is becoming more important. A wide range of purely technical factors can dramatically affect businesses, including:

- The quality, flexibility, maintainability, and scalability of their application's code;
- System performance;
- Customer-facing UX design and quality;
- Scalability and security of infrastructure;
- Bug fixing and software development speed.

Because of these many intricacies involved in the launch of a new product, any one of them can make the difference between a product that thrives and one that falls by the wayside.

INDUSTRY REGULATIONS

Because of the dramatic increase in regulatory fees relative to earnings and credit losses since the 2008 financial crisis, regulators have become a major obstacle to banks' profits.

By complying with Basel's risk-weighted capital requirements, the Dodd-Frank Act, and the Financial Account Standards Board's Current Expected Credit Loss (CECL) rule, credit unions can avoid penalties for noncompliance; for instance, Basel III requires banks to hold more capital and their assets to undergo regular stress tests. The ALLL is a reserve of money that can be used in case a loan becomes unrepaid. Since there are many regulations to abide by, achieving compliance can be difficult for Fintech banks.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

SOLUTIONS FOR THE MAJOR CHALLENGES OF THE FINTECH INDUSTRY

While there's no magic bullet for solving all the challenges facing the fintech industry, here are some innovative solutions that could encourage more startups to enter the field.

IMPLEMENTING INNOVATIVE AUTHENTICATION PROCESSES

Imagine a future with no login screens or passwords, where opening an app automatically logs you in. Your account information and transaction history are always available to you.

Under the hood, algorithms work constantly to verify your identity. These algorithms use a lot of data that you provide and could also draw on data from third-party services. The algorithms are constantly learning, which means that they get better and better at identifying patterns. They can tell if someone is trying to access your account illegitimately because they are not walking, talking like you do, or are the same height as you.

The app checks recent Fintech payments, known locations, and dozens of other data points about the user. The app

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

determines if anything seems suspicious (like an unusual number of Fintech payments, for example) and alerts the user before it asks them to provide a thumbprint or selfie. Two-factor authentication can always be used to add a layer of security.

In this modern digital world, frictionless and smooth user experiences give customers confidence and trust in your business. But, increased security comes with an increase in concerns over privacy.

OUTSOURCE APPLICATION DEVELOPMENT TO EXPERTS

Fintech companies and their owners understand that they need to create a product which is highly functional, secure, and easy to use. Achieving this goal often requires the development of sophisticated applications. But many Fintech companies do not have adequate development resources or teams; outsourcing financial technology can ensure that your project meets deadlines, produces high-quality results, and is cost-effective.

Outsourcing allows you to reduce costs, save on operating costs, and achieve your goals and complete tasks quickly and efficiently.

HIRING A LEGAL CONSULTANT

When choosing a Fintech consultant, make sure you hire one who is an expert in the field: someone who will work with you to implement the technology and make sure it meets your needs. A good consultant can pick up trends in the Fintech landscape and help you find solutions that work for you,

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

based on their expertise and understanding of the technology.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

FINTECH TRENDS FOR 2022

Over the last decade, fintech has grown and changed according to the pace of technology. In 2022, these trends have gained momentum:

DIGITAL BANKING

Consumers are increasingly turning to digital banking. The ease of managing money, obtaining loans, and getting insurance are some of the main reasons consumers prefer digital banking. The flexibility of digital banking platforms will likely increase demand around the globe; according to a recent report, total global digital banking platforms are expected to grow at a CAGR of 11.5% by 2026.

BLOCKCHAIN

Blockchain technology creates a secure infrastructure for the exchange of currency that is independent of central banks and other third-party institutions. Blockchain technology and applications are growing in popularity, and experts predict this trend will continue well beyond 2022.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ARTIFICIAL INTELLIGENCE AND MACHINE LEARNING

Artificial intelligence and machine learning technologies are becoming more affordable, making it much easier for fintech companies to scale quickly and handle a wider variety of client requests. As more traditional banks go digital, these technologies will become much more affordable and accessible, thus allowing for substantial improvements in the value that digital fintech companies provide their clients.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

CONCLUSION

The fintech industry has seen rapid growth in just the last few years, and it is only expected to grow more quickly as we move into the future. In recent years, we are seeing an influx of new startups coming in, as well as larger companies increasing their presence in this sector of the business world.

As more support is coming towards the fintech industry, it's only expected that more and more people will be able to access the benefits of these apps. More banks are now starting to use fintech to their advantage as well, which is only a good thing for everyone involved. It will be interesting to see what's in store for this industry, especially if this trend keeps up.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

REFERENCES

The following references were consulted to create this Super Guide:

- https://blog.gust.com/valuations-101-the-risk-factor-summation-method/
- https://www.toptal.com/finance/valuation/how-to-value-a-fintech-startup
- https://www.financemagnates.com/fintech/major-challenges-the-fintech-industry-faces-today-and-how-to-overcome-them/
- https://bootcamp.cvn.columbia.edu/blog/what-is-fintech/
- https://legal.thomsonreuters.com/en/insights/articles/understanding-the-risks-of-fintech
- https://www.tatvasoft.com/outsourcing/2021/04/what-is-fintech.html
- https://moqod.com/blog/what-is-fintech/
- https://hottopics.ht/3182/what-is-fintech-and-why-it-matters/
- https://fintechmagazine.com/financial-services-finserv/importance-fintech-development-smart-cities
- https://www.huffpost.com/entry/what-is-fintech_b_58a20d80e4b0cd37efcfebaa
- https://www.forbes.com/advisor/banking/what-is-fintech/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ABOUT THE AUTHOR

Daniel Pereira is a Brazilian-Canadian entrepreneur that has been designing and analyzing business models for over 15 years. You can read more about his journey as a Business Model Analyst **here**.



E-mail Daniel if you have any questions at: daniel@businessmodelanalyst.com
You can connect with Daniel at Linkedin: https://www.linkedin.com/in/dpereirabr/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited